

Challenge to 2002 Code cl. 4.55 security distinction dismissed as infructuous after Supply Code 2005

Allahabad High Court · Division Bench · 30 May 2012 · Writ - C No. 13145 of 2003 · **Writ petition dismissed as infructuous.**

HEADNOTE

A writ challenging cl. 4.55 of the U.P. Electricity Distribution Code, 2002 — which confined the bank-guarantee option for security to consumers with contracted load exceeding 10 MW — was dismissed as infructuous after that Code was repealed. The Court noted that s. 47 of the Electricity Act, 2003 leaves reasonable security to the Regulation, and that cl. 4.20 of the Electricity Supply Code, 2005 makes security common for all heavy consumers without a load-capacity distinction.

FACTUAL SUMMARY

M/s M.Q. Steels (Pvt.) Ltd. and another, industrial consumers of U.P. Power Corporation Ltd., challenged clause 4.55 of the U.P. Electricity Distribution Code, 2002 insofar as it allowed only consumers with contracted load exceeding 10 MW to furnish security by bank guarantee, while other large and heavy industrial consumers below that threshold could not. An interim order dated 27 March 2003 permitted them to submit a bank guarantee against the demanded security. The 2002 Code was later repealed and replaced by the Electricity Supply Code, 2005.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

security deposit — no load-capacity distinction

HOLDING

The U.P. Electricity Distribution Code, 2002 having been repealed and replaced by the Electricity Supply Code, 2005 made under the Electricity Act, 2003, clause 4.20 of the 2005 Code does not distinguish consumers of different load capacities and security is now common for all categories of heavy consumers. Counsel submitted that the challenge to clause 4.55 of the 2002 Code (bank-guarantee option confined to contracted load exceeding 10 MW) had therefore become infructuous; the writ petition was dismissed as such. Section 47 of the Electricity Act, 2003 provides for reasonable security to be determined by the Regulation. ¶ 1

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER CLAUSE 4.55 OF THE 2002 DISTRIBUTION CODE WAS DISCRIMINATORY IN CONFINING THE BANK-GUARANTEE OPTION FOR SECURITY TO CONTRACTED LOAD EXCEEDING 10 MW

Not decided on merits; petition dismissed as infructuous after repeal of the 2002 Code. ¶ 1